3.3.2 Interpreting market data

Unit 3.3 Marketing management · 7 key points

- **Correlation:** how closely two variables are related
- **Positive correlation:** both rise together; negative: one rises as the other falls
- **Trap:** correlation does not prove cause and effect
- **Extrapolation:** extending a past trend to forecast the future
- **Limitation of extrapolation:** assumes the past continues; unreliable when the market changes
- **Confidence interval:** the range within which the true value is likely to lie
- **Wider confidence interval:** less certainty about the forecast